old? Clearly, the lesson here is that the past record is the best single guide.

Then you run into the problem of the 14-year-old horse. Let's say you buy The Daily Racing Form and it shows that the horse won the Kentucky Derby as a four-year-old. Based on past performance, you know this was one hell of a horse. But now he's 14 and can barely move. So you have to ask yourself, "Is there anything about the past record that makes it a poor guideline as a forecaster of the future?"

The situation may also arise in which there is no clear past record. Let's say that when you left college they gave you a little bonus: You got to pick out anybody in your class and you'd get 10 percent of his or her future earnings. All of a sudden you look at the whole group in a different way. You've seen them in class; you know their grades and their leadership capabilities. Taking these factors into account, you ask yourself, "Who do I pick?" But how good a choice do you think you could make? It would be a lot easier if you could make that decision at your tenth class reunion, after you've seen their actual business performance, wouldn't it?

These are the judgments that Berkshire Hathaway makes about management all the time. We try to find businesses that we really feel good about owning. What a company's stock sells for today, tomorrow, next week, or next year doesn't matter. What counts is how the company does over a five- or 10-year period. It has nothing to do with charts or numbers. It has to do with businesses and management.

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Another thing I learned in business school was that it doesn't help to be smarter than even your dumbest competi-